

REVOLVING CREDIT AGREEMENT

Dated: As of March 15, 2023

HARTWELL MANUFACTURING GROUP, LLC

("Borrower")

and

MERIDIAN COMMERCIAL BANK, N.A.

("Lender")

\$15,000,000.00 REVOLVING CREDIT FACILITY

RECITALS

WHEREAS, Borrower desires to obtain a revolving credit facility from Lender for working capital and general corporate purposes; and WHEREAS, Lender is willing to make such facility available subject to the terms herein.

ARTICLE I — DEFINITIONS

"Agreement" means this Revolving Credit Agreement, including all exhibits, schedules and amendments.

"Applicable Margin" means 1.75% per annum for SOFR Advances and 0.50% for Base Rate Advances.

"Availability Period" means the period from the Closing Date through the Revolving Termination Date.

"Base Rate" means the greater of (i) the Prime Rate, (ii) the Federal Funds Rate plus 0.50%, or (iii) Term SOFR plus 1.00%.

"Borrowing Base" means, as of any date, the sum of (a) 85% of Eligible Receivables plus (b) 50% of Eligible Inventory, less any Reserves established by Lender.

"Closing Date" means March 15, 2023.

"Commitment" means Lender's obligation to make Revolving Loans up to \$15,000,000.00, as may be reduced pursuant hereto.

"Default Rate" means the Interest Rate then in effect plus 3.00% per annum.

"Eligible Inventory" means raw materials and finished goods inventory of Borrower that Lender, in its reasonable credit judgment, deems eligible, excluding obsolete, slow-moving, or consigned goods.

"Eligible Receivables" means accounts receivable arising in the ordinary course of business that are not more than 90 days past invoice date, are not subject to dispute, offset or counterclaim, and otherwise meet Lender's eligibility criteria.

"Event of Default" has the meaning set forth in Article VI.

"GAAP" means generally accepted accounting principles in the United States, consistently applied.

"Interest Payment Date" means the first Business Day of each calendar month.

"Maturity Date" / "Revolving Termination Date" means March 15, 2026, unless extended in writing by Lender.

"Revolving Loan" means any loan made by Lender pursuant to Section 3.1.

"Term SOFR" means the forward-looking term rate based on SOFR for the applicable Interest Period as administered by CME Group Benchmark Administration Limited.

"Unused Fee" means 0.25% per annum on the daily average unused portion of the Commitment.

ARTICLE II — CONDITIONS PRECEDENT

The obligation of Lender to make the initial Revolving Loan is subject to receipt and approval of:

- (a) **Loan Documents.** Executed originals of this Agreement, the Note, Security Agreement, and all other Loan Documents.
- (b) **Borrowing Base Certificate.** An initial Borrowing Base Certificate in form acceptable to Lender.
- (c) **Financial Statements.** Audited financial statements for the prior two fiscal years and unaudited statements for the most recent quarter.
- (d) **Entity Documents.** Certificate of formation, operating agreement, good-standing certificates, and authorizing resolutions.
- (e) **Lien Searches.** UCC, tax lien, and judgment searches against Borrower in all relevant jurisdictions.
- (f) **Insurance.** Evidence of property, liability, and business interruption insurance naming Lender as loss payee and additional insured.
- (g) **No Default.** No Event of Default shall have occurred or be continuing, and all representations shall be true and correct.

ARTICLE III — LOAN TERMS

Section 3.1 The Revolving Credit Facility. Subject to the terms herein, Lender agrees to make Revolving Loans to Borrower from time to time during the Availability Period, provided that (i) no Revolving Loan shall cause the aggregate outstanding principal to exceed the lesser of (A) the Commitment or (B) the Borrowing Base, and (ii) no Event of Default exists.

Section 3.2 Borrowing Procedure. Borrower shall request each Revolving Loan by delivering a written or electronic Notice of Borrowing to Lender by 11:00 a.m. (Eastern time) at least one (1) Business Day prior to the requested borrowing date. Each notice shall specify (i) the amount requested (minimum \$100,000), (ii) the requested borrowing date, and (iii) the type of advance.

Section 3.3 Repayment. Borrower may borrow, repay and reborrow Revolving Loans during the Availability Period. All outstanding Revolving Loans, together with accrued interest and all other Obligations, shall be due and payable in full on the Revolving Termination Date.

Section 3.4 Interest Rate. (a) SOFR Advances shall bear interest at Term SOFR plus the Applicable Margin. (b) Base Rate Advances shall bear interest at the Base Rate plus the Applicable Margin. (c) Interest is computed on a 360-day year for actual days elapsed. (d) After an Event of Default, all outstanding amounts bear interest at the Default Rate.

Section 3.5 Interest Payments. Accrued interest is payable on each Interest Payment Date. Interest at the Default Rate is payable on demand.

Section 3.6 Fees. (a) *Origination Fee:* \$75,000, due and payable on the Closing Date. (b) *Unused Fee:* Payable quarterly in arrears on the last day of each calendar quarter. (c) *Collateral Audit Fee:* Lender may conduct up to two (2) collateral audits per year at Borrower's expense (up to \$5,000 per audit).

Section 3.7 Prepayment. Borrower may prepay Revolving Loans in whole or in part at any time without premium or penalty, subject to reimbursement of any SOFR breakage costs.

ARTICLE IV — BORROWING BASE

Section 4.1 Borrowing Base Certificates. Borrower shall deliver a Borrowing Base Certificate to Lender (i) monthly, within fifteen (15) days after each month-end, and (ii) at any time upon Lender's request. Each Certificate shall be certified by the CFO of Borrower.

Section 4.2 Reserves. Lender may, in its reasonable credit judgment, establish reserves against the Borrowing Base from time to time to reflect risks, liabilities or other matters that Lender determines may adversely affect the Collateral or Borrower's ability to repay the Obligations.

Section 4.3 Overadvances. If at any time the aggregate outstanding Revolving Loans exceed the Borrowing Base (an "Overadvance"), Borrower shall immediately repay such excess to Lender, without demand or notice.

ARTICLE V — REPRESENTATIONS, WARRANTIES AND COVENANTS

Section 5.1 Representations. Borrower represents and warrants that: (a) it is duly organized, validly existing and in good standing; (b) all financial statements delivered to Lender fairly present its financial condition; (c) no Material Adverse Effect has occurred; (d) no litigation is pending or threatened that could have a Material Adverse Effect; (e) the Loan Documents are valid, binding and enforceable obligations; and (f) it has not granted any prior Lien on Collateral other than Permitted Encumbrances.

Section 5.2 Affirmative Covenants. Borrower shall: (a) deliver monthly financial statements within 30 days of month-end; (b) deliver audited annual financial statements within 120 days of fiscal year-end; (c) maintain all insurance required hereunder; (d) permit Lender to inspect its books and records upon reasonable notice; (e) maintain its existence and all material Licenses and Permits; and (f) promptly notify Lender of any Event of Default.

Section 5.3 Financial Covenants. Borrower shall maintain, tested quarterly: (a) *Minimum Fixed Charge Coverage Ratio* of not less than 1.20:1.00; (b) *Maximum Total Leverage Ratio* (Total Funded Debt / EBITDA) of not more than 3.50:1.00; (c) *Minimum Liquidity* of not less than \$1,000,000 at all times.

Section 5.4 Negative Covenants. Without Lender's prior written consent, Borrower shall not: (a) incur additional indebtedness exceeding \$500,000 in aggregate; (b) grant any Lien on assets other than Permitted Encumbrances; (c) make acquisitions exceeding \$1,000,000; (d) pay dividends or make distributions while a Default exists; (e) merge, consolidate or sell substantially all assets; or (f) materially change its business.

ARTICLE VI — EVENTS OF DEFAULT

Each of the following constitutes an "Event of Default": (a) failure to pay any principal when due or any interest/fee within 5 days of when due; (b) any representation or warranty proves materially false when made; (c) breach of any covenant not remedied within 30 days after notice (or 10 days for financial covenants); (d) cross-default on other indebtedness exceeding \$500,000; (e) any bankruptcy, insolvency or similar proceeding; (f) any judgment against Borrower exceeding \$500,000 remaining unsatisfied for 30 days; (g) any Lien created hereunder ceases to be a valid first-priority perfected Lien; or (h) any Material Adverse Effect occurs.

ARTICLE VII — REMEDIES

Upon the occurrence and continuance of an Event of Default, Lender may: (a) declare all Obligations immediately due and payable; (b) terminate the Commitment; (c) exercise all rights of a secured party under the UCC; (d) set off any deposits or amounts held for Borrower's account against the Obligations; and (e) exercise any other rights available at law or in equity. All remedies are cumulative.

ARTICLE VIII — GENERAL PROVISIONS

Section 8.1 Governing Law. This Agreement shall be governed by the laws of the State of New York.

Section 8.2 Jury Waiver. EACH PARTY HEREBY IRREVOCABLY WAIVES ANY RIGHT TO TRIAL BY JURY IN ANY ACTION ARISING UNDER OR RELATING TO THIS AGREEMENT.

Section 8.3 Notices. All notices shall be in writing and delivered by hand, overnight courier, or certified mail. Notices to Borrower: 4400 Industrial Parkway, Columbus, Ohio 43215, Attn: CFO. Notices to Lender: 500 Park Avenue, New York, NY 10022, Attn: Commercial Lending.

Section 8.4 Expenses. Borrower shall pay all reasonable costs, fees and expenses of Lender (including attorneys' fees) in connection with the preparation, negotiation, execution, administration and enforcement of this Agreement.

Section 8.5 Amendments. No amendment or waiver shall be effective unless in writing signed by both parties.

Section 8.6 Successors. This Agreement binds and inures to the benefit of the parties and their respective successors and permitted assigns. Borrower may not assign any rights hereunder without Lender's prior written consent.

Section 8.7 Entire Agreement. This Agreement and the other Loan Documents constitute the entire agreement of the parties and supersede all prior agreements and understandings.

IN WITNESS WHEREOF, the parties have executed this Agreement as of the date first written above.

HARTWELL MANUFACTURING GROUP, LLC
a Delaware limited liability company

MERIDIAN COMMERCIAL BANK, N.A.
a national banking association

By: _____

By: _____

Name: _____

Name: _____

Title: _____

Title: _____

Date: _____

Date: _____